

Fraud risk is evaluated on a 0.0 to 1.0 scale.

Scoring factors:

- Transaction amount anomaly (high deviation from user history)
- Geographic mismatch (transaction location vs user location)
- Merchant risk category (crypto, gambling, high-risk ecommerce)
- Device mismatch (new device or IP)
- Frequency of disputes filed by user

Risk interpretation:

- 0.0 – 0.3 → Low risk (likely legitimate dispute)
- 0.3 – 0.7 → Medium risk (requires verification)
- 0.7 – 1.0 → High risk (likely fraud or abuse)

High-risk cases must be escalated to human review.